Massey University Investment Club

Weekly Market Report

(Week ending April 3, 2026)

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About MUIC

Massey University Investment Club (MUIC) is a student-led organization on the Albany campus at Massey University. Through weekly discussions, market outlooks, and industry engagement, MUIC aims to bridge academic learning with real-world finance.

Editorial Note

This weekly report is prepared for educational purposes only by the MUIC research team to provide a student-driven perspective on New Zealand's macroeconomic and financial developments. The objective is to enhance analytical thinking and encourage discussion within the club.

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This week, we decided to skip the NZ Weekly Data Wrap as markets in NZ were relatively quiet, and we will focus on three topics that we think are worth your attention right now. In this report, we will cover three articles:
(1) **Brief War Analysis** - updating you on where the Iran conflict stands heading into a critical week, with Trump's 6 April deadline fast approaching and the Houthi entry into the conflict raising the stakes for global shipping.
(2) **What the oil shock is doing to the classic 60/40 portfolio**, and why bonds are no longer providing the protection investors normally expect when equities fall.
(3) Morgan Stanley's take on whether the S&P 500 correction is nearing its end, and why the answer depends less on stocks and more on where bond yields go from here.
(4) **The euro's real problem is not rates, it is energy dependence -** why the currency's weakness right now is less about interest rates and more about Europe's structural dependence on imported energy.

As always, this report has been prepared by the MUIC research team for educational purposes.

1. Brief War Analysis

Ground Escalation

The conflict has shifted significantly from an air campaign to a potential ground operation. The US has deployed over 2,500 troops to the Middle East region, alongside air support and rapid response ground forces. The Pentagon is reportedly preparing for a limited ground operation lasting several weeks inside Iran, though this has not been officially confirmed. Iran's death toll has exceeded 2,000, with thousands of civilian sites, including hospitals, schools, universities, and pharmaceutical factories. On the US-Israeli side, at least 25 combined casualties have been reported, with over 200 injured. Total regional deaths now exceed 3,000.

Trump's Shifting Stance

Trump's messaging has been notably inconsistent, threatening and then extending deadlines repeatedly. He threatened to destroy Iran's power infrastructure if the Strait of Hormuz was not reopened within 48 hours, before extending the deadline multiple times, most recently to 6 April. He also stated openly that the US wants to seize Iran's oil assets and suggested renaming the Strait of Hormuz the "Trump Strait." In his April 1 White House address, Trump kept his speech under only 20 minutes and largely repeated previous positions, promising Iran would be sent back to the Stone Age within two to three weeks.

Houthi Entry and the Bab-el-Mandeb Risk

For the first time since the conflict began, the Houthis in Yemen officially entered the war on 28 March, firing ballistic missiles at Israeli military targets. Their spokesperson warned that attacks will continue as long as operations against resistance forces do not stop. This development carries serious implications for global trade. The Bab-el-Mandeb Strait sits at the southern entrance of the Red Sea and carries around 15% of global maritime trade. If the Houthis close it on top of Iran already controlling the Strait of Hormuz in the north, both of the world's most critical shipping corridors would be under Iranian influence at the same time, which has never happened before. Ships would be forced to reroute around the southern tip of Africa, adding up to two weeks of sailing time and pushing freight and insurance costs sharply higher. Some analysts forecast Brent crude well above $130 per barrel under a prolonged dual closure scenario.

Energy Markets

US petrol prices crossed $4 per gallon for the first time since 2022. Oil prices are up around 50% and natural gas up around 70% since the conflict began. The EU estimates the additional cost of fuel imports at around €13 billion. Brent crude briefly hit $114.4 per barrel following Trump's April 1 speech. Adding further pressure to an already strained global supply picture, Ukraine's drone strikes on Russian port infrastructure, pipelines and refineries have reduced Russia's oil export capability by around 1 million barrels per day, roughly a fifth of total capacity. Russia's major Baltic port of Ust-Luga suspended oil exports after heavy drone strikes and fires, choking the pipeline system and filling up storage. That means some Russian oilfields will have to cut output to avoid flooding the system further, which would hurt oil and gas accounts for around a quarter of Russia's state budget revenue. With the Middle East and Russia both facing supply disruptions simultaneously, the global oil market is now dealing with two major shocks at once.

Political Pressure at Home

Trump's approval rating among Republican supporters has fallen from 76% in early March to 61%, with rising fuel prices cited as the most visible driver of public discontent.

What to Watch

With Trump's latest deadline set for 6 April, the key question remains whether the US will launch a ground invasion of Iran's Kharg Island, step back from the brink, or reach some form of agreement through Pakistan's mediation. Analysts warn that any military seizure of the island would make reopening the Strait of Hormuz virtually impossible, with consequences felt across global energy and shipping markets.

This analysis is based on publicly available reporting and is prepared for educational purposes by the MUIC Research Team. It does not constitute financial or geopolitical advice.

Figure 1: U.S Ground Escalation Preparing



Source: Anadolu Agency

Figure 2: Houthi Entry and the Bab-el-Mandeb Risk



Source: Sky News

Figure 3: Russia's Gasoline Export Ban



Source: The Moscow Times

2. When stocks and bonds fall together: oil is breaking the old portfolio playbook

The latest market move is uncomfortable, not because stocks are falling, but because bonds are failing to provide the protection investors normally expect. That is what makes this episode different. With oil surging above $100 a barrel and Brent posting one of its biggest monthly jumps in decades as the Iran conflict disrupts supply routes, the classic 60/40 portfolio is again being stress tested by the same force that has hurt markets before: inflationary shock rather than growth shock.

The core transmission channel is straightforward. Higher oil prices do not just raise fuel costs. They feed into inflation expectations, pressure central banks to stay cautious, and push bond yields higher at the same time that equities are marking down growth and margin risk. In that environment, both sides of a traditional balanced portfolio can fall together. Recent market moves reflect exactly that dynamic, with investors increasingly treating oil not as a commodity story alone, but as a macro variable that can reshape the path of rates, earnings, and risk appetite at the same time.

This is also why conversations around "$200 oil" are no longer being dismissed as pure tail risk. Reuters reported that analysts see Brent ranging from around $100 to $190 under sustained disruption scenarios, and some estimates suggest prices could spike to $200 if damage to critical export infrastructure deepens. The point is not that $200 must happen. The point is that markets now have to price a much fatter right tail for energy, and that changes behaviour across assets long before such a level is ever reached.

The more difficult question is whether the violent moves around headlines reflect insider knowledge, strategic positioning, or simply algorithmic trading amplifying a thin and fragile tape. It is too early to make strong claims on motive. But in practice, when geopolitical news flow is fast, fragmented, and market moving, systematic strategies and short-term positioning can exaggerate price action well beyond what underlying fundamentals would justify in a calmer environment. That helps explain why crude is trading less like a smooth supply-demand market and more like a geopolitical option, repricing instantly as probabilities shift from escalation to de-escalation and back again.

For portfolio managers, the lesson is clear. The old assumption that bonds will automatically offset equity weakness does not always hold when the shock originates in energy and geopolitics. In this phase, diversification needs to be thought of more broadly through inflation sensitivity, liquidity, cash flow durability, and scenario analysis rather than through asset labels alone. When both stocks and bonds fall together, portfolio construction stops being a passive exercise and becomes an active test of how well risk has really been understood.

Figure 4: Stock-bond Portfolios are on track for their worst month since 2022



Source: Bloomberg

3. The correction may be ending, but yields still hold the key

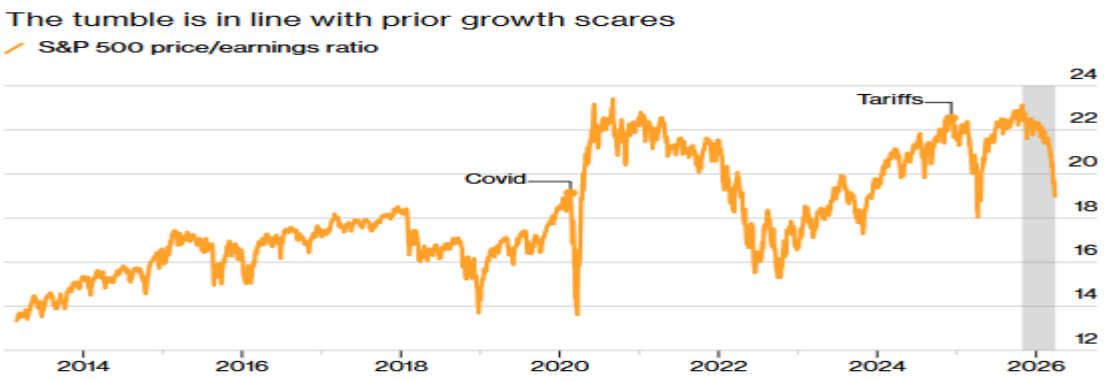
Morgan Stanley's latest message is not a bullish all-clear. It is a more nuanced call that the S&P 500 correction may be moving into its final stage, largely because a meaningful part of the geopolitical and energy shock from the Iran conflict now appears to be reflected in prices. The bank's strategists argue that valuation compression has already done a lot of the work, with the index's forward multiple down sharply from its 2025 high, while the broader market has already absorbed a significant reset in sentiment.

What makes this view credible is that the current correction does not yet look like a classic recession-driven collapse in earnings. Reuters reports that Wall Street still expects solid U.S. corporate earnings growth, with many investors betting that company fundamentals can hold up even as oil prices remain elevated and geopolitical risk stays high. That matters because corrections usually become more dangerous when earnings estimates start falling at the same time that valuations compress. So far, the market has clearly repriced risk, but it has not fully lost confidence in the earnings backdrop.

The bigger threat now is rates, not just oil. This is the key point many investors may be underestimating. Morgan Stanley has warned that the inverse relationship between yields and equities remains critical, and that higher interest rates could keep pressure on valuation multiples even if growth stabilises and earnings remain supportive. Reuters also noted that markets have become increasingly sensitive to the inflationary consequences of higher energy prices, with oil's surge feeding concerns that central banks may have less room to ease than previously expected. In other words, equities can survive an energy shock more easily than they can survive a renewed rise in discount rates.

From a portfolio management perspective, the takeaway is straightforward. The market may be getting closer to the end of this correction, but that does not mean the next phase will be easy. A more constructive equity outlook is possible if geopolitical risk stops escalating and earnings delivery stays intact. But if bond yields keep climbing, valuations may struggle to recover meaningfully even in a non-recession scenario. That is why the right lens here is not simply whether stocks have fallen enough, but whether the rate backdrop will allow investors to pay up for future earnings again.

Figure 5: S&P 500 Forward Multiple Drops on Iran and AI



Source: Morgan Stanley, Bloomberg

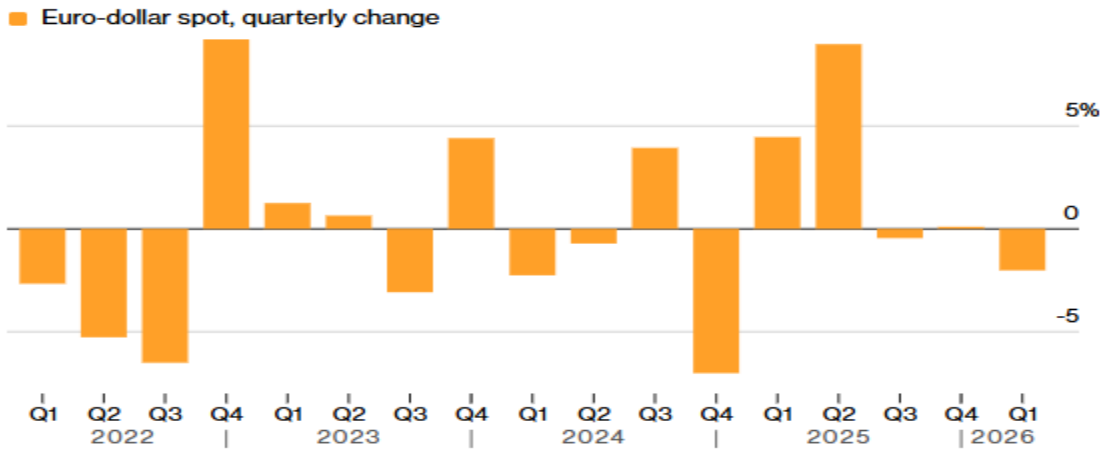
4. The euro's real problem is not rates, it is energy dependence

The euro's latest weakness is not just a currency move. It is the market's way of repricing one of Europe's oldest structural vulnerabilities: dependence on imported energy. Reuters reports that the euro is heading for its worst quarter since 2024 as the Iran conflict pushes oil prices higher and revives concerns about Europe's external balance and growth outlook. At the same time, EU energy ministers are now coordinating a response to sharply tighter oil and gas markets, with European gas prices up more than 70% since the conflict began. The transmission mechanism is straightforward. When energy prices rise, Europe's import bill increases immediately, which weakens the trade balance and reduces fundamental support for the currency. That pressure is amplified by growth concerns, because expensive energy acts like a tax on households and industry at the same time. Reuters notes that the dollar has also benefited from safe-haven demand and from the United States being a net energy exporter, which makes the relative macro positioning more favorable for USD than for EUR in this environment.

What makes the current setup more difficult is that higher inflation is not necessarily helping the euro. German inflation accelerated to 2.8% in March, with energy prices rising 7.2% year on year, and markets have started to price the possibility of ECB rate hikes. But this is not the kind of inflation that markets reward. It is supply-driven inflation that comes with weaker growth and tighter consumer conditions, which means the euro area faces a more uncomfortable mix of slowing activity and rising price pressure. In practice, that shifts sentiment from bullish to cautious, even if rate expectations become less dovish.

The next move for the euro will depend less on the absolute level of rates and more on the duration of the energy shock. If disruptions in the Gulf persist, Europe faces a double pressure point: a worsening external balance and a market that increasingly wants downside protection. That is why traders are becoming more defensive rather than treating this as a temporary FX overshoot. From a portfolio and corporate planning perspective, the message is clear: in periods like this, EUR is not just a rate differential trade. It becomes a direct expression of Europe's energy resilience, growth sensitivity, and ability to absorb external shocks without losing confidence.

Figure 6: Euro set for Worst Quarter Since Late 2024



Source: Bloomberg